

FEDERAL MARITIME COMMISSION

DOCKET NO. CC-001

MEDITERRANEAN SHIPPING COMPANY—INVESTIGATION FOR COMPLIANCE WITH §§ 41104(a) AND 41102 OF DEMURRAGE OR DETENTION CHARGES UNDER THE CHARGE COMPLAINT PROCEDURES OF 46 U.S.C. § 41310

RESPONSE OF THE OFFICE OF ENFORCEMENT TO RESPONDENT’S PETITION TO DISMISS

By Order to Show Cause (OSC) dated February 3, 2023, the Federal Maritime Commission (Commission) instituted this proceeding and directed Respondent Mediterranean Shipping Company, S.A. (MSC or Respondent) to show cause why the Commission should not order it to refund or waive charges assessed or paid, and/or impose a civil penalty, under 46 U.S.C. §§ 41310(d) and 41107, for failure to comply with 46 U.S.C. §§ 41104(a) and 41102. This proceeding was commenced pursuant to 46 U.S.C. § 41310 and 46 C.F.R. § 502.91, based on information submitted by Complainant SOFi Paper Products. In the OSC, the Office of Enforcement (OE) was named a party to the proceeding. Respondent was ordered to submit its affidavits of fact, memoranda of law, and documentary evidence by February 28, 2023.

On February 24, 2023, the Commission received Respondent’s Petition to Dismiss the Charge Complaint and the Order to Show Cause (Petition), and also received the Declaration of Wook Chung in Support of the Petition. The titled petition is, in effect, a motion to dismiss

brought under 46 C.F.R. § 502.69. Subsequently, the Respondent filed a Response to the Order to Show Cause, and accompanying motion for confidential treatment, on February 28, 2023.

OE asserts that Respondent's February 24th Petition is improper under the procedural rules governing this proceeding, is inconsistent with the OSC, and should be summarily denied on those grounds. OE's substantive reply to any responsive materials filed by Respondent as mandated by the OSC (*i.e.*, affidavits of fact, memoranda of law, and documentary evidence) will be forthcoming by the due date of March 27, 2023. The Order to Show Cause process has been used historically by the Commission to promptly address issues of perceived or apparent unlawful conduct while requiring respondents to submit their answers in accordance with specified filing deadlines. *See* 46 C.F.R § 502.91. The Commission's interim process under its current Rules of Practice and Procedure with respect to adjudication of charge complaints operates in that same spirit of promptness. *See* FMC Announces Interim Procedures for Processing Charge Complaints (Dec. 1, 2022), <https://www.fmc.gov/fmc-announces-interim-procedures-for-processing-charge-complaints/>.

In its Petition, Respondent relies on regulatory provisions from Subpart E of the Commission's Regulations, 46 C.F.R §§ 502.61 through 502.75. Respondent also attempts to import Federal Rules of Civil Procedure (FRCP) provisions as permitted under 46 C.F.R. § 502.12, found in Subpart A of the Commission's regulations. However, the OSC specifically states "IT IS FURTHER ORDERED That, pursuant to 46 C.F.R. § 502.10, the Commission hereby waives the provisions of Subparts A - E, I - L and P of Part 502, and all other provisions of the Commission's Rules of Practice and Procedure except as consistent with this Order." OSC at 5. Thus, the Commission has expressly disabled Subpart A, including § 502.12 with regards to the applicability of the FRCP, as well as the Subpart E, which Respondent relies

upon as the basis for its request. This proceeding is instead governed by the Show Cause process pursuant to 46 C.F.R. § 502.91, found within Subpart F of the Commission's regulations. Inasmuch as the OSC supersedes the provisions of Subpart A-E, Respondent's Petition is improper and should be denied.

Respectfully submitted,

MARYANNE
MUNDY

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MARYANNE MUNDY
Date: 2023.03.03
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Maryanne G. Mundy
Office of Enforcement

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 3d day of March 2023, the foregoing Response was served upon Respondent via electronic mail at the following addresses:

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